

Motorcycle HP-i margin for e-motorcycles

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Internal Credit Operations Circular CIR-05 (referenced as CIR-2026-009) issued by AEON Credit Service (M) Berhad, establishing an amended maximum financing margin of 85% for electric motorcycles (e-motorcycles) under the Motorcycle Hire Purchase-i facility, effective 18 April 2026.

1.0 — Purpose and Operational Scope

This Circular (CIR-05 / CIR-2026-009) is issued to inform all sales branch managers, hire purchase underwriters, and merchant relationship personnel of AEON Credit Service (M) Berhad regarding a policy revision governing the Motorcycle Hire Purchase-i facility. Effective 18 April 2026, all new applications for electric motorcycles (e-motorcycles) shall be subject to a revised financing margin ceiling to reflect underlying battery depreciation characteristics and secondary market liquidity risk.

2.0 — Revised Financing Margin for E-Motorcycles

While standard internal combustion engine (ICE) two-wheelers continue to qualify for a financing margin of up to 90% of the vehicle invoice purchase price, the maximum financing margin for all e-motorcycles is formally capped at 85%. No branch manager or underwriter holds delegated authority to override this 85% margin limit for e-motorcycle applications. The minimum customer cash down payment requirement is consequently established at 15%.

3.0 — Financing Tenure and Credit Tiering

The permissible financing tenure for e-motorcycles remains between 12 and 60 months, strictly in alignment with existing Motorcycle Hire Purchase-i framework parameters. Credit tiering shall be determined based on CTOS credit scores: applicants with CTOS scores of 700 and above qualify for prime tier profit pricing; scores between 650 and 699 are assigned standard pricing; and scores below 650 cannot proceed via the automated underwriting path, requiring manual evaluation by a Senior Underwriter.

4.0 — Underwriting and Affordability Thresholds

All e-motorcycle financing approvals must strictly comply with Credit Policy v2 (effective 2026-01-01). Debt Service Ratio (DSR) ceilings are capped at 60% where gross monthly income is below RM 3,000, and 70% where gross monthly income is RM 3,000 or above, with projected post-facility DSR remaining fully binding. The Net Disposable Income (NDI) floor is fixed at RM 1,500 after the facility is drawn in full, increasing to RM 2,000 where the applicant supports 3 or more dependants. Any applicant with active legal action, bankruptcy, an AKPK flag, or any existing facility 2 or more months in arrears shall be declined absolutely.

5.0 — Vehicle Eligibility and Battery Warranty Requirements

To qualify for the 85% margin under Motorcycle Hire Purchase-i, the e-motorcycle must be registered with the Road Transport Department (JPJ) for road use and supplied by an approved manufacturer or authorized distributor. The vehicle must carry an active original equipment manufacturer (OEM) battery warranty covering a minimum of 36 months or 30,000 kilometres, whichever comes first. Battery leasing arrangements where the power pack is excluded from the primary sales invoice are strictly ineligible under this scheme.

6.0 — Core Processing System Configuration

Effective 18 April 2026, the Core Financing System (CFS) credit scoring engine will automatically enforce the 85% maximum loan-to-value threshold upon selection of the vehicle propulsion code 'E-MOTO'. System validation will reject any submission where requested financing exceeds 85% of net invoice price. In accordance with governance mandates, approved financing limit amounts shall strictly not be utilized as input variables into credit decisioning models.

7.0 — Customer Enquiries and Dispute Governance

Frontline staff must provide prompt and fair communication regarding the down payment differential for e-motorcycles. Any customer dispute or complaint arising from financing margin assessments must be acknowledged in writing within 2 business days and formally resolved within 14 calendar days. Unresolved complaints must be escalated to the Customer Care Department and, where applicable, customers must be directed to the Ombudsman for Financial Services.

Schedule / Reference Table

Product Category	Vehicle Propulsion Type	Maximum Margin of Finance	Financing Tenure Range	Minimum NDI Floor	DSR Ceiling Cap
Standard Commuter Moped	Internal Combustion Engine (ICE)	Up to 90%	12 to 60 months	RM 1,500 (RM 2,000 if ≥ 3 dependants)	60% (< RM 3,000) / 70% ($\geq$ RM 3,000)
Sport / Touring Motorcycle	Internal Combustion Engine (ICE)	Up to 90%	12 to 60 months	RM 1,500 (RM 2,000 if ≥ 3 dependants)	60% (< RM 3,000) / 70% ($\geq$ RM 3,000)
Urban Commuter E-Scooter	Full Electric (E-Motorcycle)	Up to 85%	12 to 60 months	RM 1,500 (RM 2,000 if ≥ 3 dependants)	60% (< RM 3,000) / 70% ($\geq$ RM 3,000)
High-Capacity E-Motorcycle	Full Electric (E-Motorcycle)	Up to 85%	12 to 60 months	RM 1,500 (RM 2,000 if ≥ 3 dependants)	60% (< RM 3,000) / 70% ($\geq$ RM 3,000)
Commercial Fleet E-Motorcycle	Full Electric (E-Motorcycle)	Up to 85%	12 to 60 months	RM 1,500 (RM 2,000 if ≥ 3 dependants)	60% (< RM 3,000) / 70% ($\geq$ RM 3,000)